Organizational Structure & Design

ARJUN SINGAR

Definition

- Organizing is arranging and structuring work to accomplish organization's goals.
- It is the process of bringing together physical, financial & human resources and developing productive relationship amongst them for achievement of organizational goals.

Organizing as a process involves:

- Identification of activities
- Classification of grouping of activities
- Assignment of duties
- Delegation of authority and creation of responsibility
- Coordinating authority, responsibility and relationships

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Organizational Structure & Design

- Organizational Structure: It is the formal arrangement of jobs within an organization. It is the way in which an organization's activities are divided, organized and coordinated.
- Organizational Design: It is creating or changing an organization's structure. This process involves decisions about six key elements such as work specialization, depatmentalization, chain of command, span of control, centralization & decentralization and formalization.

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Work Specialization

- Definition: Dividing work activities into separate job tasks.
- This is based on the concept of division of labor which means - the breakdown of a complex task into components so that individuals are responsible for a limited set of activities instead of the task as a whole.
- Job Enlargement: Increases variety by involving more tasks in the process. (Horizontal Scale – Scope)
- Job Enrichment: Makes the work more challenging and responsible. (Vertical Scale – Depth)

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Job Enrichment *means*

Departmentalization

- Definition: The basis on which jobs are grouped together. Here the grouping into departments of work activities are done that are similar and logically connected.

The five common forms of departmentalization are:

- Functional Departmentalization
- Geographical Departmentalization
- Product Departmentalization
- Process Departmentalization
- Customer Departmentalization

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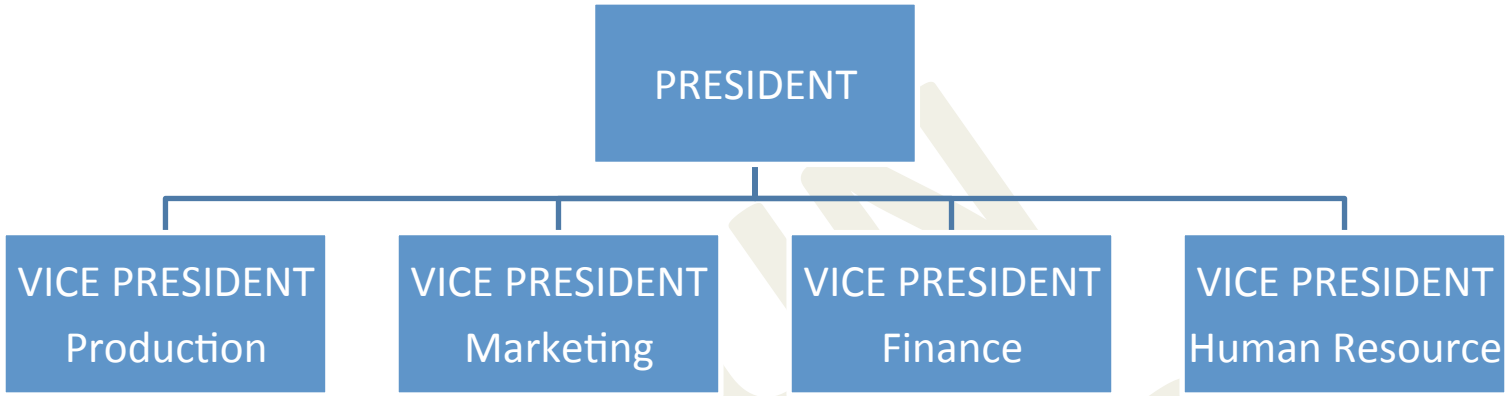
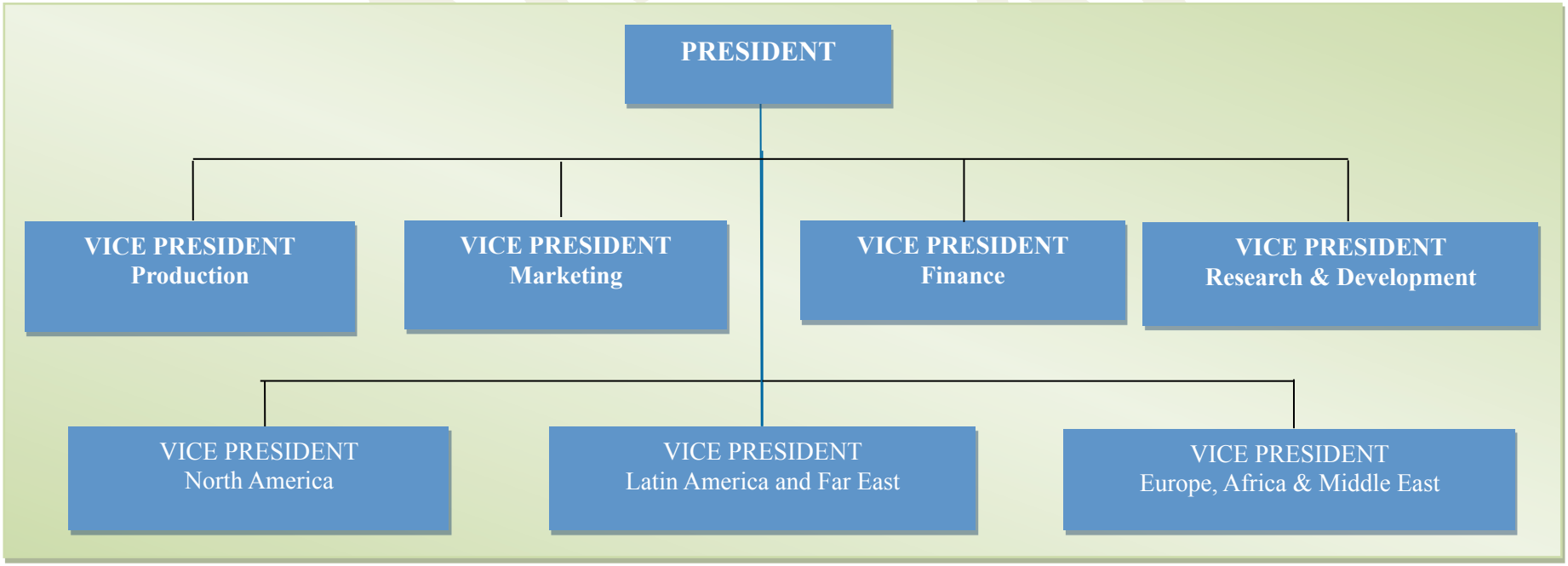
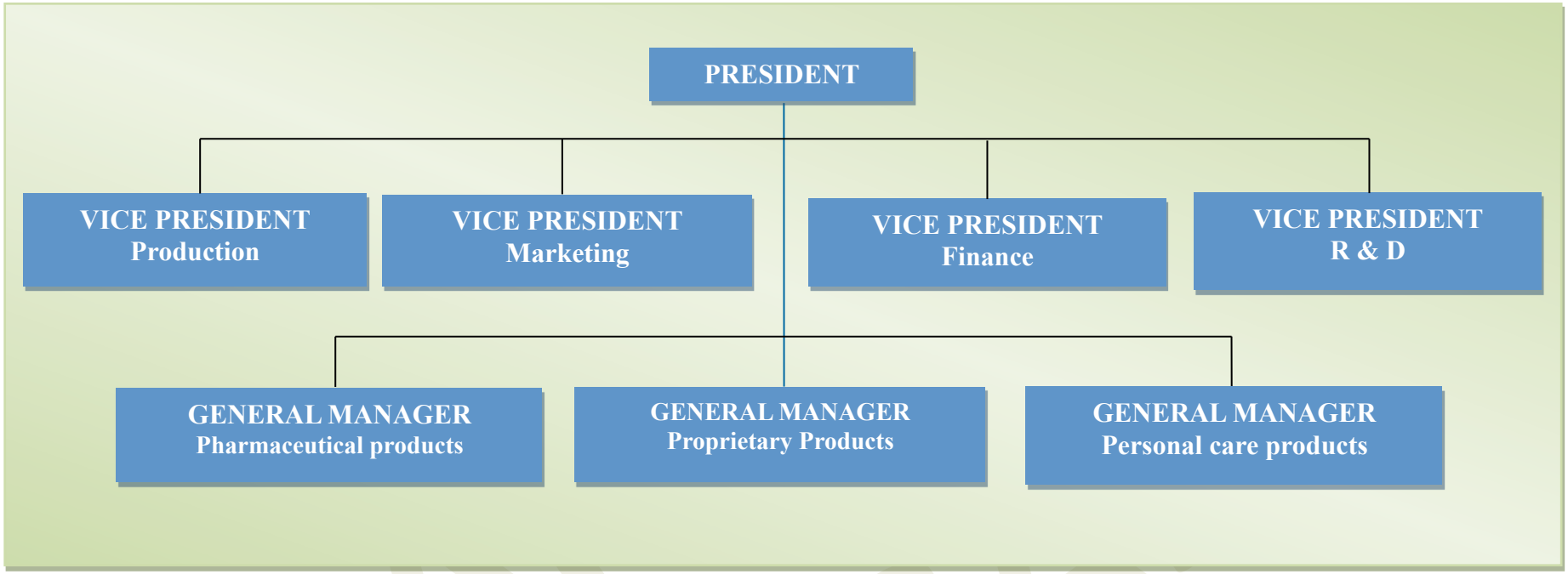
Functional Departmentalization



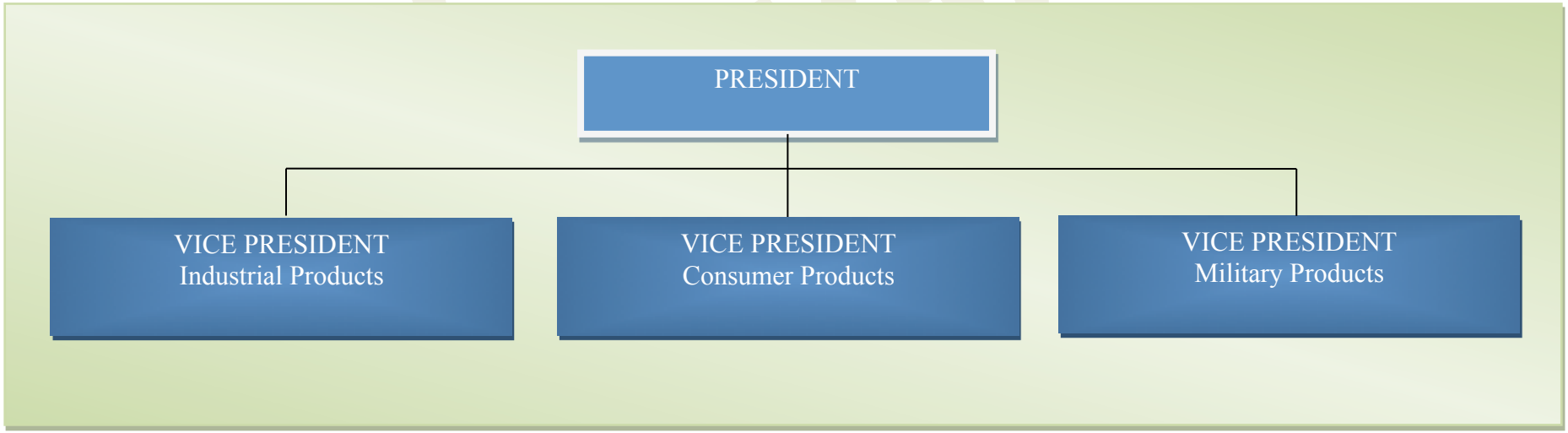
Geographical Departmentalization



Product/Process Departmentalization



Customer Departmentalization



Chain of Command

- Definition: The line of authority extending from upper organizational levels to the lowest levels, which clarifies who reports to whom.
- This demonstrates the hierarchy of an organization, that is, a pattern of multiple levels of an organizational structure, at the top of which is the senior ranking manager responsible for operations of the entire organization; other, lower ranking managers are located down the various levels of the organization.
- These levels exhibit authority (rights inherent in a managerial position), responsibility (expectation to perform any assigned task) and unity of command (each person should report to only one manager).

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Span of Control

- Definition: The number of employees a manager can efficiently and effectively manage. This is also called as span of management.
- This determines the efficiency of an organization, that is, the number of levels and managers in an organization, in terms of, having a wider span or narrow span.
- This deals with cost cutting and speedy decision making in terms of, it being a tall (narrow span) or a flat structure (wider span).

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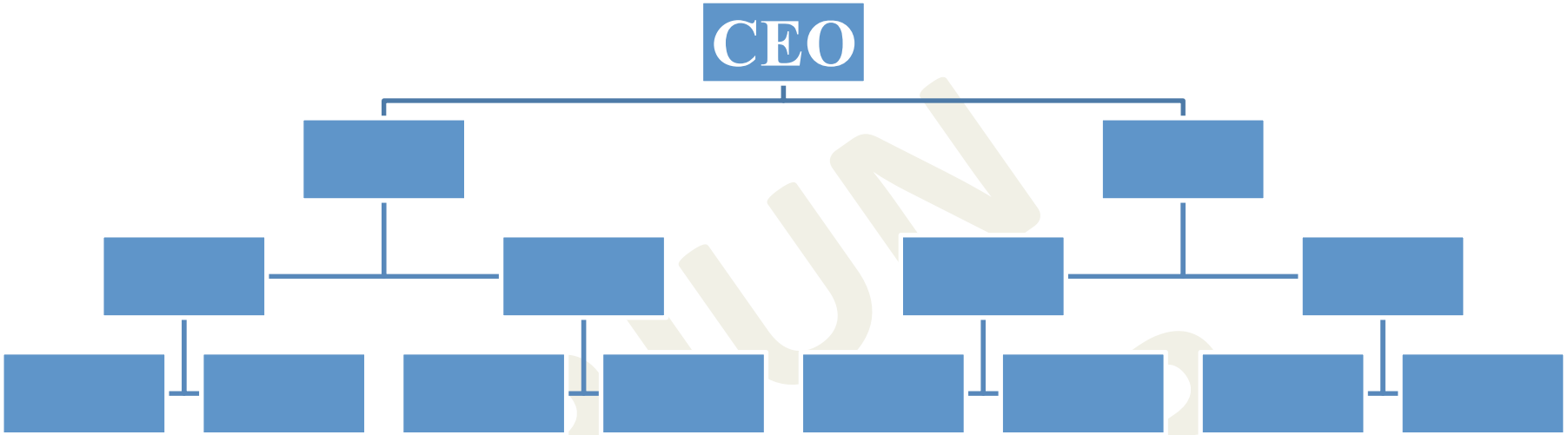
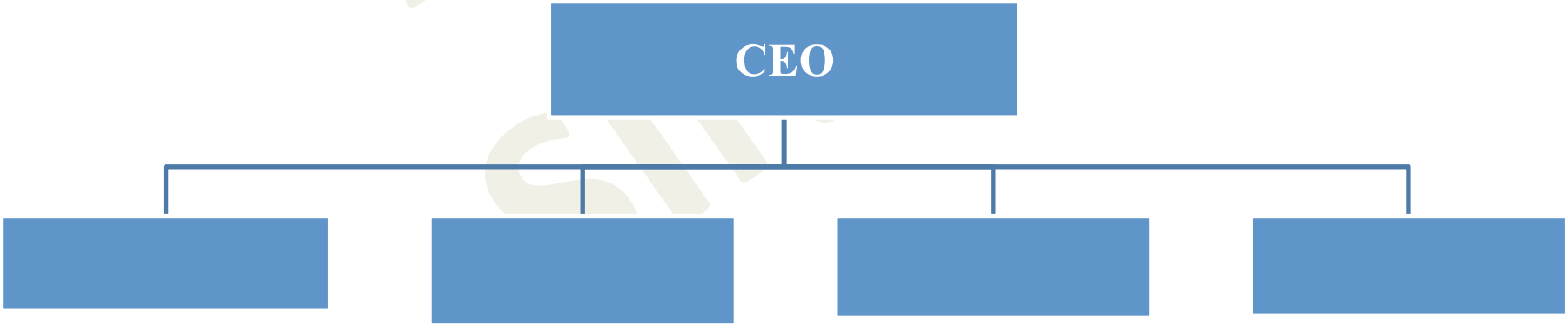
Narrow Span – Tall Structure



Wide Span – Flat Structure



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Centralization & Decentralization

- Centralization is the degree to which decision making is concentrated at upper levels of organization. Here the company may be large / small & stable and decisions are relatively minor. Corporate culture could be stringent and rigid.
- Decentralization is the degree to which lower level employees provide input or actually make decisions. Here the company may be geographically dispersed, complex & uncertain and decisions are very significant. Corporate culture could be more open and flexible.

Formalization

- How standardized an organization's jobs are and the extent to which employee behavior is guided by rules and procedures.

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Two Models of Organizational Design – Mechanistic and Organic Structure

- Mechanistic organization is a rigid and tightly controlled structure characterized by:

- High specialization
- Rigid departmentalization
- Clear chain of command
- Narrow spans of control
- Centralization
- High formalization

(Formal setup for stable environment)

- Organic organization is a highly adaptive and flexible structure characterized by:

- Cross functional teams
- Cross hierarchical teams
- Free flow of information
- Wide spans of control
- Decentralization
- Low formalization

(Informal setup for changing environment)

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Contingency Factors for Organizational Design

- Strategy and Structure
- Size and Structure
  (Growth & Expansion)
- Technology and Structure
- Unit Production – Production of items in units or small batches
- Mass Production – Production of items in large batches
- Process Production – Production in continuous processes
- Environmental Uncertainty (Complex) and Structure
  (Product / Market / Law / Technology)

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Traditional Organization Designs

- Simple Structure: An organizational design with low departmentalization, wide spans of control, centralized authority and little formalization.
- Functional Structure: An organizational design that groups together similar or related occupational specialties.
- Divisional Structure: An organizational structure made up of separate, semi autonomous units or divisions.

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Contemporary Organizational Designs

- Team Structure: An organizational structure in which the entire organization is made up of work groups or teams.
- Matrix Structure: An organizational structure that assigns specialists from different functional departments to work on one or more projects.
- Project Structure: An organizational structure in which employees continuously work on projects.
- Boundaryless Organization: An organization whose design is not defined by or limited to the horizontal, vertical and external boundaries imposed by a predefined structure.

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Contemporary Organizational Designs

- Virtual Organization: An organization that consists of a small core of full time employees and outside specialists temporarily hired as needed to work on projects.
- Network Organization: An organization that uses its own employees to do some work activities and networks of outside suppliers to provide other needed product components or work processes.
- Learning Organization: An organization that has developed the capacity to continuously learn, adapt and change.

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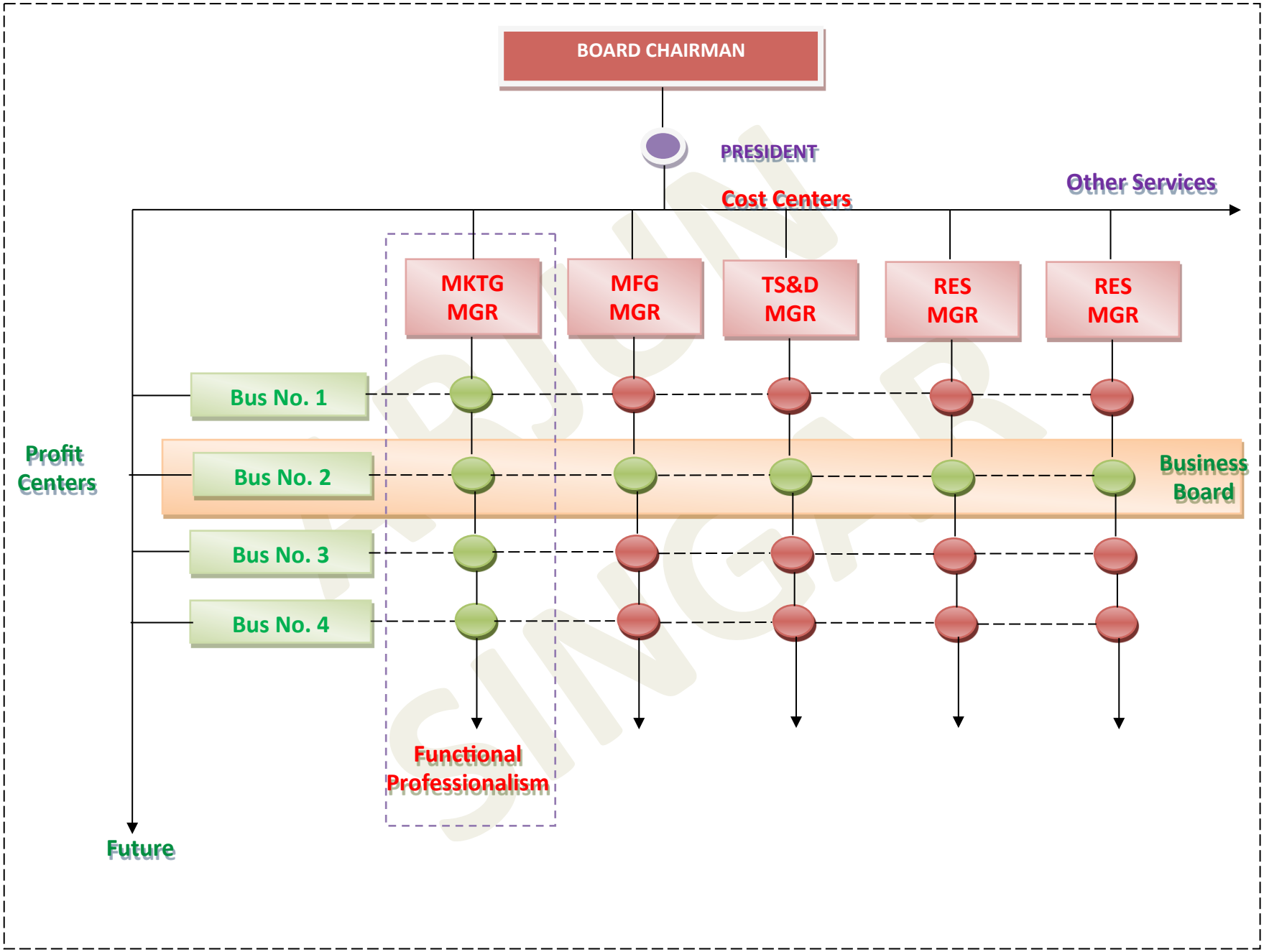
Matrix Structure